

STATE OF NEW YORK

4883--A

2025-2026 Regular Sessions

IN SENATE

February 13, 2025

Introduced by Sen. GOUNARDES -- read twice and ordered printed, and when printed to be committed to the Committee on Health -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the public health law, in relation to minimum direct resident care spending by residential health care facilities

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. Subparagraph (i) of paragraph (c) of subdivision 1 of
2 section 2828 of the public health law, as amended by chapter 747 of the
3 laws of 2023, is amended to read as follows:
4 (i) Except as provided in subparagraph (ii) of this paragraph, such
5 regulations shall further include at a minimum that any residential
6 health care facility for which the calculation of total operating reven-
7 ue, as such term is limited by subparagraph (iii) of paragraph (a) of
8 subdivision two of this section, exceeds total operating and non-operat-
9 ing expenses by more than five percent of total operating and non-oper-
10 ating expenses or that fails to spend the minimum amount necessary to
11 comply with the minimum spending standards for resident-facing staffing
12 or direct resident care, calculated on an annual basis, or for the year
13 two thousand twenty-two, on a pro-rata basis for only that portion of
14 the year during which the failure of a residential health care facility
15 to spend a minimum of seventy percent of revenue on direct resident
16 care, and forty percent of revenue on resident-facing staffing, may be
17 held to be a violation of this chapter, shall remit such excess revenue,
18 or the difference between the minimum spending requirement and the actu-
19 al amount of spending on resident-facing staffing or direct care staff-
20 ing, as the case may be, to the state, with such excess revenue which
21 shall be payable, in a manner to be determined by such regulations, by
22 November first in the year following the year in which the expenses are
23 incurred. The department shall collect such payments by methods includ-

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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ing, but not limited to, bringing suit in a court of competent jurisdiction on its own behalf after giving notice of such suit to the attorney general, deductions or offsets from payments made pursuant to the Medicaid program, and shall deposit such recouped funds into the nursing home quality pool, as set forth in paragraph (d) of subdivision two-c of section twenty-eight hundred eight of this article. Provided further that such payments of excess revenue shall be in addition to and shall not affect a residential health care facility's obligations to make any other payments required by state or federal law into the nursing home quality pool, including but not limited to medicaid rate reductions required pursuant to paragraph (g) of subdivision two-c of section twenty-eight hundred eight of this article and department regulations promulgated pursuant thereto. The commissioner or their designees shall have authority to audit the residential health care facilities' reports for compliance in accordance with this section.

§ 2. Paragraph (a) of subdivision 2 of section 2828 of the public health law, as amended by chapter 27 of the laws of 2024, is amended to read as follows:

(a) "Revenue" shall mean the total operating revenue from or on behalf of residents of the residential health care facility, government payers, or third-party payers, to pay for a resident's occupancy of the residential health care facility, resident care, and the operation of the residential health care facility as reported in the residential health care facility cost reports submitted to the department; provided, however, that total operating revenue shall exclude:

(i) the capital portion of the Medicaid reimbursement rate;
(ii) funding received as reimbursement for the assessment under subparagraph (vi) of paragraph (b) of subdivision two of section twenty-eight hundred seven-d of this article, as reconciled pursuant to paragraph (c) of subdivision ten of section twenty-eight hundred seven-d of this article; and

(iii) any grant funds from the federal government for reimbursement of COVID-19 pandemic-related expenses, including but not limited to funds received from the federal emergency management agency or health resources and services administration and such other one-time federal financial assistance.

§ 3. This act shall take effect immediately; provided, however, for purposes of distribution of the supplemental payment to qualified not-for-profit facilities authorized by chapter 53 of the laws of 2022, enacting the aid to localities budget, and pursuant to the Medicaid State Plan Amendment 22-0007, this act shall be deemed to have been in full force and effect on and after January 1, 2020.